

ECONOMIC BUBBLES

AN ECONOMIC BUBBLE IS A MOMENT OF MARKET MADNESS. PEOPLE RUSH TO BUY SHARES IN WHAT SEEMS TO BE THE NEXT BIG THING. PRICES SOAR AS WORD SPREADS AND PEOPLE BUY IN. AFTER A TIME, PRICES GET SO HIGH THAT SOME INVESTORS LOSE THEIR NERVE AND PULL OUT. AS CONFIDENCE FAILS, PRICES CRASH, AND THE BUBBLE BURSTS.